

Snap Inc.

Oh Snap! We Are Initiating at Neutral

- **Initiating coverage of SNAP at Neutral.** The business faces long-term threats: competition, obsolescence and regulation. But we can't become bears just yet as ample cash generation bolsters the balance sheet, giving the business options to counteract incoming headwinds.
- **Competition and obsolescence risks aren't new.** Still, these challenges have been felt acutely in the past year, exacerbated by customers' tighter marketing budgets and competition around new, expensive augmented reality initiatives (ex. SNAP specs vs. Meta glasses).
- **Regulatory scrutiny is intensifying.** Governmental oversight of social media platforms is becoming a headache for SNAP and its social media counterparties. The allegations towards these platforms range from facilitating illegal transactions to mental health detriments to children, and the punishments and controls range from fines to age-bans for social media participation. These challenges are felt more acutely at SNAP, which has a younger-leaning cohort and less disposable cash to fight litigation than its IG counterparts.
- **But cash generation is meaningful.** Less cash doesn't mean no cash. Like other software names, SNAP is a capital-light business, driving impressive cash flows. Cost-cutting efforts increased FCF conversion to 63% in 2025 from 22% in 2023, helped by SNAP's minimal capital requirements since its app is hosted in partner clouds driving strong OCF and FCF, which averaged \$439mn and \$230mn, respectively, over the last three years. The company tends to keep ~\$2bn+ of cash and equivalents on the balance sheet, lending to net leverage below 1x in 1Q26 with manageable near-term maturities.
- **Relative value.** SNAP's two unsecured bonds trade wide to the BB index and tight to the B Index, about what you'd expect for a name on the cusp (B1/BB-). Much like the broader tech sector that was dragged down by the Saaspocalypse, the bonds have traded poorly YTD. SNAP bonds have underperformed even the subpar tech index YTD with yields widening out 120-130bp versus 74bp for the tech index as the name faces advertiser headwinds, increased public scrutiny on social media platforms, and governance changes on top of AI disruption fears. SNAP currently trades at a justifiably wide discount to its peers.
- **Bottom line.** Existential threats from competition, obsolescence, and regulation weigh on trading levels for a company that, at this current juncture, looks very sound from a credit standpoint. But the discount to peers is valid in our view, given the number of unknowns facing the social media industry and SNAP's primarily advertising-based revenue model.
- Risks to our Neutral rating include outsized fines or government intervention threatening SNAP's user base and cash balance, spinning off or shutting down loss-producing Specs, and a change in capital allocation policies including stock buybacks, SBC, and M&A.

Neutral

SNAP

Moody's: B1 Outlook: POS
S&P: BB- Outlook: POS

The above agency ratings are at the corporate level

North America Corporate Credit - Technology and Telecommunication Services (HY)

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Figure 1: Ratings & Relative Value Table

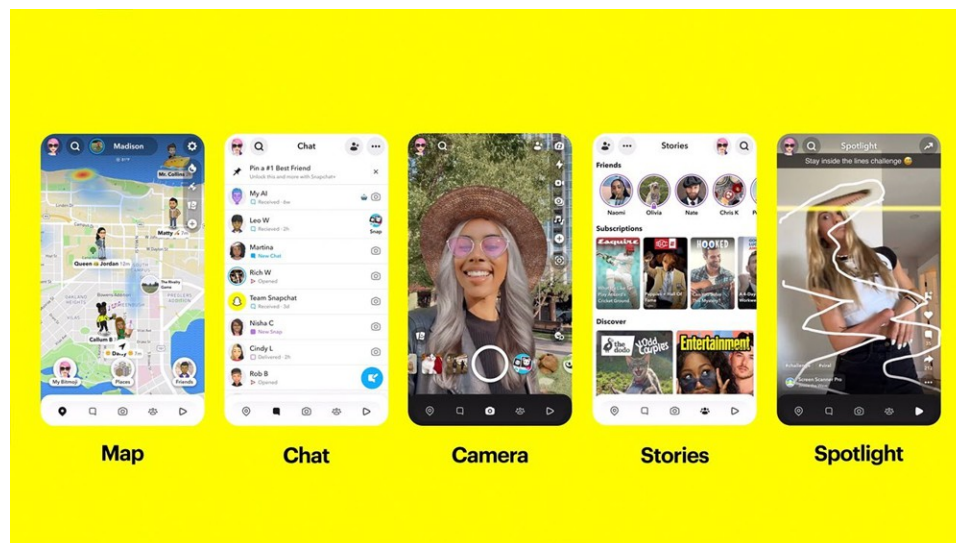
JPM				Amt	Recent Quotes				LTM	EBITDA	LTM	Interest	Leverage	
Rating	Bond	Rank	Ratings	Out (\$mn)	Bid Px	YTW	STW	YTW Date	EBITDA	Margin	FCF	Coverage	Gross	Net
Snap Inc. (SNAP) - N														
N	6.875% Sr Nts Notes due 2033	Sr Unsecured	B1 / BB-	1,500.0	97.250	7.41%	325bp	Mar-33	\$815	13.4%	\$609	6.0x	4.3x	0.8x
N	6.875% Sr Nts Notes due 2034	Sr Unsecured	B1 / BB-	550.0	96.125	7.55%	337bp	Mar-34	\$815	13.4%	\$609	6.0x	4.3x	0.8x
GoDaddy (GDDY) - OW														
OW	Term Loan B-8	1L Gtd Sr. Secd	Ba1 / BB	1,437.0	98.500	6.00%			\$1,635	32.5%	\$1,640	10.8x	1.5x	0.7x
OW	5.25% Sr Nts due 2027	Sr Unsecured	Ba3 / BB-	600.0	99.625	5.54%	135bp	Dec-27	\$1,635	32.5%	\$1,640	10.8x	2.3x	1.5x
OW	3.50% Sr Nts due 2029	Sr Unsecured	Ba3 / BB-	800.0	94.250	5.92%	176bp	Mar-29	\$1,635	32.5%	\$1,640	10.8x	2.3x	1.5x
Open Text (OTEX) - N														
OW	Acquisition Term Loan	1L Gtd Sr. Secd	Ba1 / BBB-	2,173.5	99.000	5.81%			\$1,840	35.3%	\$813	6.4x	1.6x	0.9x
OW	6.90% 1L Nts due 2027	Secured	Ba1 / BBB-	1,000.0	101.750	5.44%	125bp	Nov-27	\$1,840	35.3%	\$813	6.4x	1.6x	0.9x
N	3.875% Sr Nts due 2028	Sr Unsecured	Ba3 / BB	900.0	97.125	5.84%	164bp	Feb-28	\$1,840	35.3%	\$813	6.4x	3.4x	2.7x
N	3.875% Sr Nts due 2029	Sr Unsecured	Ba3 / BB	850.0	91.375	6.80%	265bp	Dec-29	\$1,840	35.3%	\$813	6.4x	3.4x	2.7x
N	4.125% Sr Nts due 2030	Sr Unsecured	Ba3 / BB	900.0	91.375	6.91%	276bp	Feb-30	\$1,840	35.3%	\$813	6.4x	3.4x	2.7x
N	4.125% Sr Nts due 2031	Sr Unsecured	Ba3 / BB	650.0	86.875	7.12%	298bp	Dec-31	\$1,840	35.3%	\$813	6.4x	3.4x	2.7x
Twilio (TWLO) - UW														
UW	3.625% Sr Nts due 2029	Sr Unsecured	Ba1 / BB+	500.0	95.625	5.43%	127bp	Mar-29	\$1,096	20.7%	\$899	29.2x	0.9x	0.4x
UW	3.875% Sr Nts due 2031	Sr Unsecured	Ba1 / BB+	500.0	93.375	5.51%	138bp	Mar-31	\$1,096	20.7%	\$899	29.2x	0.9x	0.4x
Elastic (ESTC) - N														
N	4.125% Sr Nts due 2029	Sr Unsecured	Ba2 / BB	575.0	95.250	5.89%	174bp	Jul-29	\$288	16.6%	\$322	11.5x	2.0x	(0.7x)
Electronic Arts (EA) - NC														
	7.25% 1L Nts due 2033	1st lien	Ba3 / (P)BB	2,875.0	103.571	6.38%	225bp	Jul-31						
	8.75% Sr Nts due 2034	Sr Unsecured	B3 / (P)B	2,500.0	104.816	7.54%	341bp	Jul-31						
JPM HY Tech Index						8.39%	404bp							
JPM BB Index						6.35%	196bp							
JPM B Index						7.65%	330bp							
JPM HY Index						7.23%	317bp							
JPM Leverage Loan Index						8.78%	471bp							

Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

Company Overview

Snap sees itself as a technology company that focuses on smartphone cameras for use in its main offering, Snapchat. Snapchat is a social media platform that allows users (called “Snapchatters”) to create a community of friends and then communicate with that community using pictures, videos, and text. The app allows customers to see where their friends are on a map, create stories for their communities, interact with augmented reality lenses and filters, and communicate with pictures and text that purposefully last for only a short while. Snapchat also includes a TikTok style feature called “Spotlight” that showcases the best of Snapchat, helping people discover new creators and content which becomes personalized using Snapchat’s AI. Snapchat’s ecosystem has expanded over time with a user base approaching one billion monthly active users, including 75% of the 13-34 year cohort in more than 20 countries. Users open the app 30–40 times per day on average, resulting in around 30 minutes of daily screen time globally (vs. TikTok and Instagram ~1 hour).

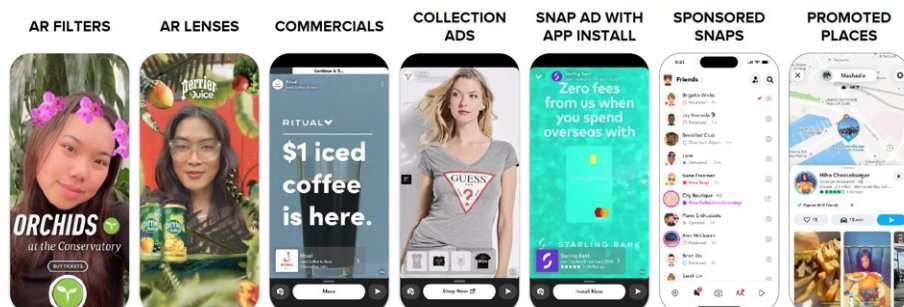
Figure 2: Snapchat User Interface



Source: Company reports.

The business is predominantly funded by advertising revenue supplemented by growing subscriptions and other direct revenue products. Today, ~80-90% of the company’s revenue comes from advertising on its core Snapchat product. As with most social media platforms, advertisers bid to reach certain markets based on Snap’s information about user interests. Ads can involve general brand recognition or look to get the user to make an immediate purchase. For example, advertisers can bid on impressions or specific outcomes, such as reaching a target demographic (ex. I want to reach 18mn 18-24 year old women in the next month) or driving sales of a specific product (ex. I will pay SNAP \$3/shirt for each shirt sold through SNAP ads). Approximately 70% of advertising revenue comes from direct-response advertisers and 30% comes from brand-oriented advertisers. Ad formats include: AR filters/lenses enabling static and animated overlays that users can apply to their Snaps, commercials, collection ads, and snap ads with app install that appear between content in Stories, Spotlight, and other placements and take up the entire screen, sponsored snaps, and promoted places on the map feature.

Figure 3: Ad Formats



Source: Company data.

The remaining revenue comes from its direct revenue portfolio, which includes subscriptions, the Memories photo and video archive tool and in-app purchases, and that piece of the business has grown overtime. SNAP's suite of subscription products, Snapchat+, Lens+, Snapchat Platinum, and Memories Storage Plans provide subscribers access to exclusive, experimental, pre-released features like custom app themes, chat wallpapers, Story rewatch indicators, pinning best friends, an ad-free experience, and/or the ability to purchase cloud storage. Examples of in-app purchases include restoring a Snapstreak (tracks the number of consecutive days you and a friend have exchanged Snaps) or buying Bitmoji merch. Revenue makeup has continued to gradually shift away from advertising as subscriptions and direct revenue grow. In February 2026, SNAP said its direct-revenue business reached \$1bn in annualized revenue run rate and its total subscriber count had surpassed 25mn (vs. ~15mn in March 2025).

SNAP is simultaneously extending its strategy into augmented reality hardware via its Specs subsidiary. While not a meaningful revenue driver, wearable Augmented Reality (AR) glasses, which overlay computing over the world and extend the immersive AR Lenses/filters beyond Snapchat, remain a focus for management. In just the last few months, SNAP has acquired Illumix (a spatial AR company) and launched the sixth generation of its smart glasses to the public, a decade after its original pair lost the company tens of millions of dollars. They will cost £1,995 in the UK and \$2,195 in the US when shipping begins this autumn. That makes them cheaper than Apple's Vision Pro mixed-reality headset with its \$3,499 starting price, but far more expensive than Meta's smart glasses, which start at \$224.

Figure 4: Jack Harlow for SPECS, by Steven Meisel Figure 5: SPECS Augmented Reality Glasses



Source: Company reports.

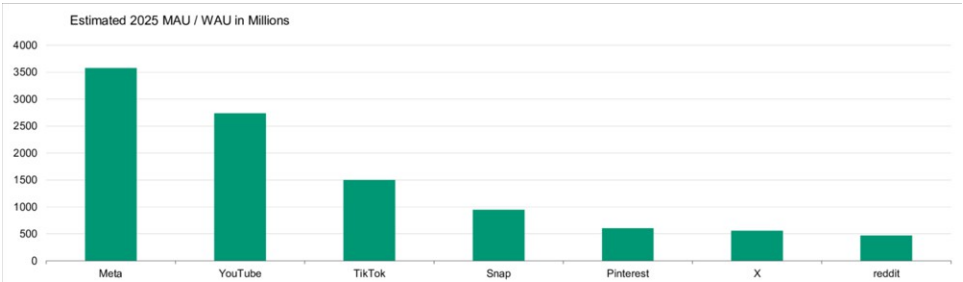


Source: Company reports.

Competition

From an industry standpoint, Snap operates at the intersection of digital media and advertising, social media, and augmented reality hardware, competing for user attention and ad dollars. The market for mobile engagement and advertising is crowded with deep-pocketed players such as Alphabet (including Google and YouTube), Apple, ByteDance (TikTok and affiliated joint ventures), Meta (including Facebook, Instagram, Threads, and WhatsApp), Pinterest, Reddit and X (formerly Twitter). Additionally, competition for engagement varies by region. For instance, SNAP faces competition from companies like Kakao, LINE, Naver (including Snow), and Tencent in Asia. Since the products are typically free, the businesses compete on brand and quality of product offerings to retain users’ attention. At the same time, the businesses compete to retain partners and advertisers. Within this backdrop, Snap is a niche player with a compelling value proposition for advertisers looking to tap into younger demographics, as Snap reaches 75% of the 13-34 year cohort or most of Millennials/Gen Z.

Figure 6: Scale Versus Competitors



Source: Moody's Ratings

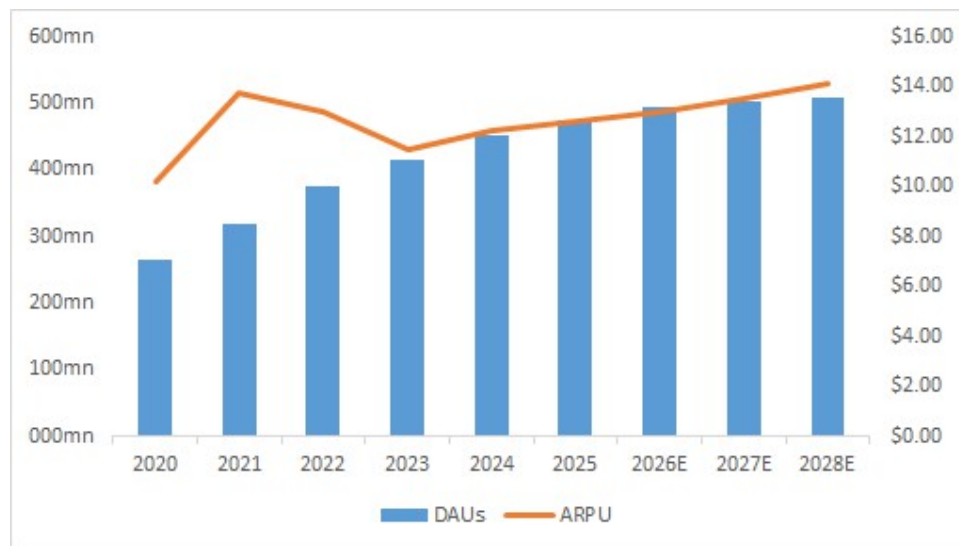
History

Snapchat began commercial operations in 2011, when Stanford University students Evan Spiegel, Bobby Murphy, and Reggie Brown launched what would become Snapchat as a mobile application focused on ephemeral photo messaging. As the user base grew rapidly among teenagers and young adults, Snapchat turned down takeover offers from larger players including Facebook's \$3bn offer in 2013 and Google's \$4bn offer in 2013. They began meaningfully monetizing Snapchat in 2015. As Snapchat matured beyond a single messaging app and looked to launch new initiatives such as Spectacles, the company rebranded from Snapchat to Snap in 2016.

Early Expansion and Scaling

SNAP went public at a \$24bn valuation in 2017 using an unusual triple-class share structure that granted public investors essentially no voting rights, while consolidating nearly all control in the hands of Spiegel (CEO) and Murphy (CTO) through super-voting Class C shares. Following its IPO in 2017-2022, Snap entered a period of substantial scaling, with headcount growing at a rapid 54% CAGR to keep up with growing scale, proliferating priorities, and geographical expansion fueled by IPO resources and user growth. During that time, SNAP rolled out a series of features including Snap Maps (based on the acquisition of social map app Zenly for \$213mn) and Spotlight, incorporated Bitmojis, and launched its first smart glasses, which drove a \$40mn loss due to "excess inventory" and canceled orders.

Figure 7: DAU and ARPU Trends



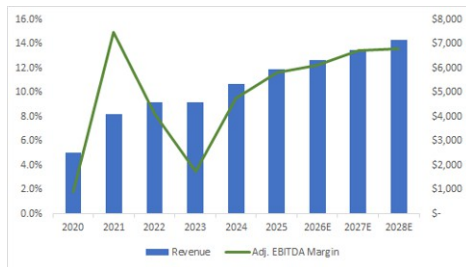
Source: Company reports and J.P. Morgan estimates.

Shocks and Restructuring

But Snap's business faced headwinds when, starting in April 2021, Apple began rolling out changes to the digital ad system that upended how performance was measured and who took credit for sales, making it more difficult for advertisers to manage campaigns. As a result, starting in 3Q21, advertising revenue took a hit, and SNAP had to rebuild and retrench its priorities over the next 12-15 months. Specifically, Snap had to accelerate investments in machine learning and conversion modeling to underpin a recovery in direct-response advertising. On top of that, Snap was operating against a difficult macro backdrop at the time, facing headwinds including high inflation/interest rates and geopolitical risks (Russia/Ukraine war) that were limiting advertising spend, coupled with increasing competition for ad dollars. In late August 2022, Snap announced a major workforce reduction and strategic refocus on the bottom line, cutting approximately 20% of its employees and discontinuing several products, including original shows, in-app games, the Pixy drone, and standalone apps Zenly and Voisey (a TikTok-like music app acquired in 2020), expected to yield \$500mn in annual savings. Still, 2023 remained challenging due to a slowdown

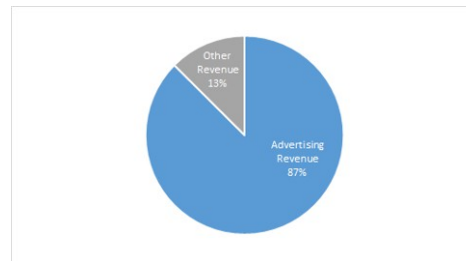
in digital advertising spend from the 2021-2022 post-pandemic levels. Then, in early 2024, SNAP undertook another headcount reduction, cutting ~10% of its employees. Ultimately, efforts to recalibrate its tech stack to fit the new Apple framework and restructure its cost base proved fruitful, as SNAP was able to recover ARPU and margins in 2024/25.

Figure 8: Revenue and Adj. EBITDA Margin



Source: Company reports and J.P. Morgan estimates.

Figure 9: Revenue Mix



For 2025
Source: Company reports.

Activist Pressure Conflicts with AR Ambitions

After a year of solid growth and margin improvement in 2025, in March 2026, activist investor Irenic took a ~2.5% stake in SNAP and sent a letter to CEO and co-founder Evan Spiegel, outlining its recommendations to boost the company's shares to more than \$26 (vs. \$3.93 at the time) including: cutting about 1,000 jobs, spinning off or shutting down Specs which burns ~\$500mn a year, improving monetization using AI (but with partners like Gemini, OpenAI and Anthropic, not former partner Perplexity), boost shareholder returns (\$5.8bn buyback program, lowering SBC), and improving governance by giving public shareholders voting rights.

Figure 10: Snap Back to Reality - Irenic Presentation

SAVE SNAP NOW

		Current Share Price \$3.93 ⁽¹⁾	
Spin / Shut Specs	\$3.5bn spent over 11 years with no viable consumer product to date - AR wearables is a weak market with intensifying competition, and SNAP's issues are compounded by its narrower product offering and limited evidence that consumers will pay a premium for AR glasses at scale - With no path to value realization until 2030+ it's time to spin Specs out or shut it down	+\$2.03	
Rationalize Costs	- SNAP can and should leverage AI to drive efficiency in the organization and remove excessive layers - Eliminate cost structure bloat with a 1,000 personnel RIF and lower cash personnel costs by \$30k per employee - Align SBC incentives through performance based vesting at \$10/sh and \$15/sh	+\$1.64	
Improve Monetization	- Break out of SNAP's ARPAU ceiling through better ad targeting and accelerated product development - Focus on 1) improving advertiser ROAS through better targeting and attribution / measurement; 2) user flow and monetization of chat and maps; 3) leaning in to subscriptions	+\$5.78	7x Opportunity
Deploy AI Properly	- Monetize SNAP's proprietary visual datasets - Replace broken AI partnerships	+\$2.01	
Improve Governance and Return Capital	- Use newfound cash and profitability to further invest in privacy, safety, and parental controls - Execute a \$5.8bn share buyback program⁽²⁾ supported by substantially improved free cash flow profile - Unlock multiple re-rating⁽³⁾ through improved governance by providing public shareholders with a vote	+\$10.98	
SNAP'S PUBLIC SHAREHOLDERS HAVE NO VOTING RIGHTS AND YOU DON'T NEED TO LISTEN, BUT THERE IS A CLEAR PATH TO 7X SNAP'S SHARE PRICE (\$26.37 / SH.). LET'S TAKE IT.			

IRENIC

(1) Assumes 50% of Adj. EBITDA over next 3 years is used for buybacks at an average price of \$15 / Sh.
(2) Assumes 2x multiple expansion to 9.0x NTM EV/Adj. EBITDA
(3) Last close price as of 3/27/2026

5

March 2026
Source: Irenic

Following activist pressure, in April 2026, SNAP announced it was laying off 16% of its workforce (over 1k personnel). Like other tech names that have conducted layoffs this year (~40% at Block, 20% at Meta, ~10% at Amazon), SNAP said the headcount reductions will be offset by AI efficiencies. Additionally, as previously mentioned, SNAP, like other tech names, hired aggressively during COVID. Following the layoffs, SNAP is targeting 60%+ gross margin and \$500mn in annualized savings in 2026. The proposed cuts will cost \$75-100mn in cash to achieve, primarily concentrated in 2Q26. Further, the company ended its partnership with Perplexity, which would have contributed \$400mn of revenue over one year. Still, the company offers other AI-powered conversations in Chat, such as with AI Sponsored Snaps and MyAI.

Despite these wins, Irenic's campaign did not achieve all its goals, illuminating the practical implications of Snap's governance model. Despite owning about 2.5% of Class A shares, Irenic had no formal voting leverage over corporate decisions due to the zero-vote nature of that share class and the overwhelming voting control held by Spiegel and Murphy through Class C stock. Consequently, Irenic's tools were limited to public persuasion, market signaling, and potential informal influence rather than direct votes on directors or strategic moves. One area where SNAP has seemingly been unwilling to yield to pressure is in Specs. A few months following the letter, SNAP released its latest generation of its glasses and acquired AR company Illumix, explicitly linked to enhancing Specs' mapping and spatial features.

Regulatory Scrutiny

Similar to other social media platforms, Snap faces regulatory scrutiny at home and overseas as politicians debate the impact social media has on the mental health of children and adults. According to Sprout Social, the largest age group for SNAP is 18- to 24-year-olds, who make up 35.4% of the platform's audience. But there's also a significant portion of under-18 users, who make up 18.3% of the audience. Further, Snapchat has users self-report their date of birth, so age-demographic data may not always be accurate, and the actual average age could be lower than reported.

In March 2026, the European Commission (EC) formally opened proceedings to investigate whether Snapchat complies with child safety, privacy, and security requirements under the Digital Services Act (DSA). The investigation centers on allegations that Snapchat may have breached the DSA by exposing minors to grooming attempts and recruitment for criminal purposes, and obtaining information about the sale of illegal goods like drugs or age-restricted products such as vapes and alcohol, leaving Snap subject to potential fines. Additionally, other regulatory bodies have also looked to enforce age-based limits on social media usage. In Australia, Snap is already subject to the world's first nationwide social media minimum age law, which requires the platform to restrict access for users under 16, and last week, we saw France become the first EU country to pass a blanket ban on social media for children under 15.

In the US, Snap is exposed to scrutiny from the FTC. There are also multiple US state-level lawsuits involving Snap that address minors, age checks, and child safety. There have also been a number of legal settlements with individuals and their families over claims that the world's largest social media platforms are addictive and cause harm. Additionally, outside of litigation, there is the general threat of parents increasingly policing smartphones. More generally, recent cases highlight the regulatory risks and social responsibilities associated with youth-heavy platforms and underscore the tension between Snap's positioning as a camera company focused on private communication and fun, and the potential misuse of its services by bad actors seeking to exploit minors.

Financial Outlook

Topline Growth Driven by Advertising and Subscriptions

We forecast revenue growth as a function of Daily Active Users (DAUs), or a registered and logged-in Snapchat user who visits Snapchat at least once during a 24-hour period, multiplied by the average revenue per user, or ARPU. We assume going forward DAU growth will continue to slow from levels seen in 2023/24 as the North American and European markets become more saturated. Additionally, we assume the company prioritizes profitable user growth over pure user acquisition, limiting DAU upside but continuing to boost ARPU in the low single digits. By segment, we expect strong subscriber growth consistent with current trends (+5-11k net adds y/y) with low single digit ARPU increases, shifting revenue mix down from 90% advertising closer to 75% advertising over time.

Figure 11: Segment Performance

	FY	FY	FY	FY	FY	FY	FY	FY	FY
(\$mn)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue By Segment									
Total Revenue									
DAUs	265	319	375	414	453	474	494	503	508
Y/Y Growth	NM	20.4%	17.6%	10.4%	9.4%	4.6%	4.2%	1.8%	1.0%
ARPU	\$10.22	\$13.73	\$12.99	\$11.51	\$12.25	\$12.62	\$12.99	\$13.53	\$14.15
Y/Y Growth	NM	34.4%	-5.4%	-11.4%	6.5%	3.0%	3.0%	4.1%	4.6%
Total Revenue	2,708.2	4,381.4	4,601.8	4,606.1	5,361.4	5,931.1	6,344.3	6,759.3	7,159.3
Y/Y Growth	NM	64.2%	11.8%	0.1%	16.4%	10.6%	7.0%	6.5%	5.9%
Ad Revenue									
Ad ARPU			\$13.19	\$11.20	\$11.31	\$11.19	\$10.58	\$10.57	\$10.71
Y/Y Growth				-15%	1%	-1%	-5%	0%	1%
Ad Revenue			4,575.5	4,417.0	4,903.7	5,186.0	5,119.9	5,271.4	5,415.1
Y/Y Growth				-3%	11%	6%	-1%	3%	3%
% of Total			99%	96%	91%	87%	81%	78%	76%
Subscription Revenue									
Number of Subscribers (thousands)			1,900.0	7,100.0	14,000.0	24,000.0	29,000.0	34,000.0	39,000.0
Y/Y Growth				274%	97%	71%	21%	17%	15%
Net Adds Y/Y				5,200	6,900	10,000	5,000	5,000	5,000
Sub Monthly ARPU			\$1.16	\$3.50	\$3.62	\$3.27	\$3.85	\$3.94	\$3.98
Y/Y Growth				203%	3%	-10%	18%	2%	1%
Subscription Revenue			26.3	189.1	457.7	745.1	1,224.4	1,487.9	1,744.2
Y/Y Growth				618%	142%	63%	64%	22%	17%
% of Total			1%	4%	9%	13%	19%	22%	24%

*ARPU figures calculated as ARPU based on the average number of DAUs over the period
Source: Company reports and J.P. Morgan estimates.

Margin Expansion Supported by Restructuring

The company's largest expense is COGS, which includes infrastructure costs (primarily for cloud capacity), content and development costs (or fees paid to content creators who share content through Snapchat under revenue sharing agreements), and other fees to third parties, as well as typical COGS including salaries and facility expenses. R&D is also a large expense as the company competes on user experience rather than price (as Snapchat is free), followed by SG&A. The company maintains a more traditional, hands-on sales team for large clients, but GTM efforts are primarily machine-driven. We forecast ~200bp of EBITDA margin expansion from 2025 to 2028, primarily driven by the company's 2026 restructuring which SNAP expects to drive \$500mn of annual savings starting 2H26, partially offset by lower SBC. While the company has been reducing SBC over the past year (down ~230bp y/y at 17.1% of sales in 2025),

recent declines were largely due to reductions in headcount. Going forward, management does not anticipate shifting towards cash compensation until the business is throwing off several billion in cash flow (vs. \$656mn of OCF in 2025). While this policy could be influenced by activist pressure to lower SBC, we assume for now management continues to utilize SBC, but it trends down over time towards 14-16% of sales (vs. ~17% in 2025).

Capex Limited With Cloud Model

All of SNAP's software runs on infrastructure from AWS and Google Cloud. So, cloud computing costs run through COGS not opex, making the business very capex light (~4% of sales). While management does run a buy versus rent analysis every year, management has historically been able to negotiate with the cloud providers to avoid building out its own data centers. This approach could be tested going forward as SNAP may become too big for this system to remain in place, but in our model we assume the trend continues and infrastructure costs feed into COGS rather than capex. Outside of capex, SNAP is expected to incur \$75-100mn of cash restructuring costs in 2Q26 related to its 2026 restructuring program. Still, the business is highly FCF generative, and we forecast annual FCF of \$350mn+ supported by topline growth and margin expansion.

Historically Not Fans of Transformative M&A

The question then becomes what will the company do with the cash? If history is any indication, management will continue to maintain a substantial liquidity cushion (\$2-3bn of cash and marketable securities). The extra cash tends to go towards stock repurchases, rather than M&A. Management tends to only make acquisitions when they have a product or feature on their roadmap and then identify an external team that has solved the same problem, which so far has lent itself to tuck-in acquisitions. Their largest acquisition was \$250mn for 350 people, but most transactions usually only target a team of 5-10 people. In terms of buybacks, SNAP repurchased \$350mn of shares in just 1Q26 and maintained \$400mn authorized for repurchase. However, we'd expect this program to be increased, especially considering activists are targeting a \$5.8bn buyback program and SNAP's use of SBC dilutes EPS metrics. So, in our model, we assume SNAP keeps cash/marketable securities between \$2-3bn and uses the vast majority of additional cash for repurchases, meaning \$350-500mn of buybacks a year.

Figure 12: Summary Financial Model

(\$mn)	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	FY 2026E	FY 2027E	FY 2028E
Income Statement									
Advertising Revenue				4,417.0	4,903.7	5,186.0	5,119.9	5,271.4	5,415.1
Other Revenue				<u>189.1</u>	<u>457.7</u>	<u>745.1</u>	<u>1,224.4</u>	<u>1,487.9</u>	<u>1,744.2</u>
Revenue	2,506.6	4,117.0	4,601.8	4,606.1	5,361.4	5,931.4	6,344.1	6,759.3	7,159.3
YoY Growth	0.0%	64.2%	11.8%	0.1%	16.4%	10.6%	7.0%	6.5%	5.9%
Cost of Revenue	<u>1,182.5</u>	<u>1,750.2</u>	<u>1,815.3</u>	<u>2,114.1</u>	<u>2,474.2</u>	<u>2,669.6</u>	<u>2,653.3</u>	<u>2,573.7</u>	<u>2,678.5</u>
Gross Profit	1,324.1	2,366.8	2,786.5	2,492.0	2,887.2	3,261.9	3,690.8	4,185.7	4,480.8
GAAP Gross Margin	52.8%	57.5%	60.6%	54.1%	53.9%	55.0%	58.2%	61.9%	62.6%
Research & Development	1,101.6	1,565.5	2,109.8	1,910.9	1,691.7	1,793.6	2,052.9	2,178.4	2,307.3
Sales & Marketing	555.5	792.8	1,118.7	1,122.1	1,063.7	1,021.3	1,107.5	1,206.4	1,277.7
General & Administrative	<u>529.2</u>	<u>710.6</u>	<u>953.3</u>	<u>857.4</u>	<u>919.1</u>	<u>979.1</u>	<u>1,110.9</u>	<u>1,158.4</u>	<u>1,227.3</u>
Operating Expenses	2,186.2	3,068.9	4,181.8	3,890.4	3,674.5	3,794.0	4,271.2	4,543.2	4,812.3
Operating Income	(862.1)	(702.1)	(1,395.3)	(1,398.4)	(787.3)	(532.2)	(580.4)	(357.5)	(331.5)
SBC	770.2	1,092.1	1,387.8	1,324.0	1,041.0	1,016.8	1,018.2	1,013.9	1,038.1
Depreciation & Amortization	86.7	119.1	202.2	168.4	158.1	163.6	192.0	213.2	225.8
Other	<u>50.3</u>	<u>107.5</u>	<u>182.9</u>	<u>67.5</u>	<u>96.8</u>	<u>41.4</u>	<u>145.5</u>	<u>40.0</u>	<u>40.0</u>
Adj. EBITDA	45.2	616.7	377.6	161.6	508.6	689.7	775.4	909.6	972.4
LTM Adj. EBITDA	45.2	616.7	377.6	161.6	508.6	689.7	775.4	909.6	972.4
Adj. EBITDA Margin	1.8%	15.0%	8.2%	3.5%	9.5%	11.6%	12.2%	13.5%	13.6%
Cash Flow									
EBITDA	45.2	616.7	377.6	161.6	508.6	689.7	775.4	909.6	972.4
(-) Cash Interest	(12.1)	(25.3)	(12.1)	(30.9)	(24.7)	(65.1)	(129.5)	(145.3)	(145.3)
(-) Cash Taxes	(8.9)	(10.9)	(8.9)	(10.2)	(10.3)	(26.7)	(18.6)	(14.1)	(13.2)
Δ NWC	(153.8)	(195.9)	(35.0)	63.1	(91.5)	(17.4)	39.6	(32.2)	37.0
Other	<u>(38.0)</u>	<u>(91.7)</u>	<u>(137.0)</u>	<u>63.0</u>	<u>31.3</u>	<u>75.7</u>	<u>(70.1)</u>	<u>0.0</u>	<u>0.0</u>
OCF	(167.6)	292.9	184.6	246.5	413.5	656.2	596.8	717.9	850.8
Capex	<u>(57.8)</u>	<u>(69.9)</u>	<u>(129.3)</u>	<u>(211.7)</u>	<u>(194.8)</u>	<u>(219.0)</u>	<u>(218.5)</u>	<u>(240.5)</u>	<u>(254.7)</u>
FCF	(225.5)	223.0	55.3	34.8	218.7	437.2	378.3	477.4	596.0
Business Sales / Acquisitions	(168.9)	(310.9)	(67.1)	(42.7)	1.2	(34.0)	(84.4)	(60.0)	(60.0)
Dividends	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Purchase / Sale of Marketable Securities	(3,134.6)	(2,059.4)	(3,409.9)	(1,588.8)	(1,933.4)	(534.5)	(1,270.3)	(1,600.0)	(1,600.0)
Maturities of Marketable Securities	2,737.5	2,536.7	2,525.2	2,424.7	1,411.4	977.2	1,413.6	1,600.0	1,600.0
Stock Issuance / Repurchase	34.2	14.7	(996.8)	(188.4)	(298.3)	(750.9)	(440.5)	(360.0)	(480.0)
Debt Issued / Repaid	988.6	1,137.2	1,480.5	0.0	(118.7)	(16.6)	(47.0)	0.0	0.0
Other	<u>(206.1)</u>	<u>(93.1)</u>	<u>(158.2)</u>	<u>(281.0)</u>	<u>(13.2)</u>	<u>(97.5)</u>	<u>(7.5)</u>	<u>0.0</u>	<u>0.0</u>
Net Increase (Decrease) in Cash	25.3	1,448.2	(570.9)	358.7	(732.2)	(19.2)	(57.7)	57.4	56.0

Source: Company reports and J.P. Morgan estimates.

Stable Balance Sheet

This is not a very capital intensive business, limiting the need for SNAP to rely on debt for large capital outlays. The capital stack is all unsecured and consists of convertible notes and two high yield notes. SNAP has chipped away at the balance on its converts over time (using proceeds from the unsecured notes), and the maturities are staggered such that there is no year that stands out as a maturity wall. Further, the company has more than enough cash and equivalents on hand

to cover any near-term maturities over the next four years (\$2.8bn of cash and marketable securities versus \$1.4bn of maturities through May 2030). We assume SNAP pays off the \$47mn balance on its 2026 convertible notes, and then refinances its 2027-30 convertible notes (our model assumes with more converts, but could also look to issue more high yield paper). Under our assumptions, SNAP should be able to modestly delever 0.8x from 4.3x in 1Q26 to 3.5x in 2028, primarily due to EBITDA growth.

Figure 13: Capitalization Table

(\$mn)	Coupon	Maturity	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	FY 2026E	FY 2027E	FY 2028E
Cash & Cash Eq			545.6	1,993.8	1,423.1	1,780.4	1,046.5	1,030.4	972.3	1,029.7	1,085.7
Marketable Securities			1,991.9	1,699.1	2,516.0	1,763.7	2,329.7	1,910.1	1,761.0	1,761.0	1,761.0
Revolver Availability			<u>1,024.6</u>	<u>1,026.1</u>	<u>1,009.9</u>	<u>1,000.4</u>	<u>969.3</u>	<u>1,050.0</u>	<u>1,050.0</u>	<u>800.0</u>	<u>800.0</u>
Total Liquidity			3,562.1	4,719.0	4,949.0	4,544.5	4,345.6	3,990.6	3,783.2	3,590.7	3,646.7
\$1.05bn Revolving Credit Facility	S + 75	Feb-30	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
0.75% Convert due 2026	0.750%	Aug-26	1,265.0	838.5	838.5	838.5	249.8	47.0	0.0	0.0	0.0
0% Convert due 2027	0.000%	May-27		1,150.0	1,150.0	1,150.0	1,150.0	106.3	106.3	106.3	106.3
0.125% Convert due 2028	0.125%	Mar-28			1,500.0	1,500.0	1,500.0	514.2	514.2	514.2	514.2
0.50% Convert due 2030	0.500%	May-30					750.0	750.0	750.0	750.0	750.0
6.875% Senior Unsecured Notes	6.875%	Mar-33						1,500.0	1,500.0	1,500.0	1,500.0
<u>6.875% Senior Unsecured Notes</u>	<u>6.875%</u>	<u>Mar-34</u>						<u>550.0</u>	<u>550.0</u>	<u>550.0</u>	<u>550.0</u>
Total Debt			2,265.0	2,272.6	3,772.6	3,772.6	3,686.0	3,467.5	3,420.5	3,420.5	3,420.5
LTM Adj. EBITDA			45.2	616.7	377.6	161.6	508.6	689.7	775.4	909.6	972.4
Total Debt / LTM EBITDA			50.2x	3.7x	10.0x	23.3x	7.2x	5.0x	4.4x	3.8x	3.5x
Net Debt / LTM EBITDA			-6.0x	-2.3x	-0.4x	1.4x	0.6x	0.8x	0.9x	0.7x	0.6x

*\$250mn of the RCF matures May 2027
Source: Company reports and J.P. Morgan estimates.

Credit Strengths

Unique model focuses on core friend community rather than a broadcast model. Unlike some social media platforms that look to disperse photos and information about users to the entire platform, Snapchat user content is shared only with the members of the communities that users create. As such, the management team believes that its younger user base is better protected from contact with strangers, reinforcing Snap's positioning as a safe, expressive, youth-oriented environment.

Good cash flow conversion. Following a year of significant investment in its business in 2023, Snap expanded its EBITDA margin by roughly 800bp to 11.6% in 2025. Moreover, the company increased its FCF conversion to 63% in 2025 from 22% in 2023.

Conservative financial policy. Snap has a conservative capital allocation policy. It prioritizes small tuck-in acquisitions and management has said they are not looking to do transformative M&A. In addition, the company balances investment for growth with a sound balance sheet and positive FCF. Snap currently has \$2.8bn in cash and marketable securities and net leverage of only 0.8x.

Credit Risks

Potential negative impact of mobile operating systems on Snapchat's ability to measure advertising effectiveness or connect users to one another. In 2021, Apple modified its privacy policy to require user consent for measurements used by advertisers. The move had a negative impact on the revenues of Snap as well as other social media companies. Importantly, Snap shifted its focus towards leveraging first-party data, which is data collected directly from users within the app, to improve ad targeting and measurement. They also increased their use of Direct Response Advertising, which is less reliant on third-party data. Still, the evolving digital privacy landscape and other possible privacy mandates in the social media industry could limit the expansion of its advertising revenue.

Significant competition from deep-pocketed companies. Snapchat competes with several large social media platforms. In the U.S., Alphabet (including Google and YouTube), Apple, ByteDance (including TikTok), Meta (including Facebook, Instagram, Threads, and WhatsApp), Pinterest, and X (formerly Twitter) all have significantly greater financial resources than Snap. Still, Snap has a unique ecosystem. Snapchat opens automatically to its camera/lens feature, which is conducive to content creation, essentially making all users content creators. Imitation is often focused on individual features, but the differentiator is the comprehensive experience. (e.g. Snap offers short video, but also lens, mapping products, video calling, news content, stories etc.).

Snapchat's target customers may "outgrow" the app. There appears to be a natural attrition as younger users age-out of Snapchat's features. This could limit the company's potential growth. Still, Snapchat has a strong user base among younger demographics, particularly Gen Z. The platform's design, features, and content resonate well with this audience, helping it to add new users as older customers leave. Moreover, the firm is growing faster in countries where it has lower penetration rates. But the firm's focus on younger demographics, as well as location tracking on the app's "maps" feature, create regulatory risk.

Governance risk from activists and outsized founder influence. Snap has been the target of recent activist investor campaigns aimed at enhancing equity returns. While some recommendations have been more creditor friendly (cost cuts, spinning off Specs), activists have also pushed for lower SBCs and increased buybacks above already high levels. Because of Snap's unique voting share concentration, management doesn't have to follow activists' suggestions. Still, there is inherent governance risk in concentrated ownership where the two co-founders hold more than 99% of the voting power.

Key Covenants

Snap has IG-style covenants that do not include typical HY restrictions on Restricted Payments, Asset Sales, Debt Incurrence, or Affiliate Transactions. What covenants they do have (Limitations on Guarantees) can be suspended if the issuer is IG. As the bonds are unsecured, the key protection is the negative pledge: Snap and guarantors generally cannot secure other debt unless the notes are equally and ratably secured, unless the lien fits within a broad Permitted Lien basket. Additionally, we'd note that the company's senior unsecured revolving credit facility has a \$800mn minimum liquidity covenant, but the company has historically remained above that level.

Figure 14: Covenant Summary

6.875% Notes due 2033 / 6.875% Notes due 2034	
Seniority	Unsecured
CoC	Yes, 101 Put, requires downgrade by 2 agencies Permitted Holders (founders/mgt)
Guarantees	<u>Non-Guarantors</u> - Cannot guarantee indebtedness >\$100mn unless guarantors also guarantee the notes
Permitted Liens	<u>Credit Facilities Carveout</u> - up to \$1.05bn <u>Misc Carveouts</u> - Non-Guarantor Subsidiaries, Capital Leases, Qualified Securitizations/Receivables Facilities <u>Leverage Carveout</u> - Sec Lev <3.5x <u>General Carveout</u> - up \$300mn / \$30% LTM EBITDA

Source: Company reports and J.P. Morgan estimates.

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Snap Inc. - J.P. Morgan Credit Opinion History

	Date	Action	Rating/Designation	Ticker/ISIN
Issuer	27 Jul 26	Initiate	Neutral	SNAP
6.875% Snr Unsec Nts '34 *	27 Jul 26	Initiate	Neutral	US83304AAM80
6.875% Snr Unsec Nts '33	27 Jul 26	Initiate	Neutral	US83304AAL08

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